

World in Brief: America's economy slows; Amazon and Apple report earnings



Photograph: Reuters

Despite robust spending, **America's economy** grew slower than expected in the second quarter, expanding by an annualised 1.5%. Consumer activity grew by 3.2% thanks to a fall in gasoline prices and higher-than-usual tax refunds. AI-driven investment continued to boom. These bright spots were, however, offset by a decline in net exports and companies drawing down their inventories.

Amazon reported second-quarter revenues of \$200.6bn, a 20% increase from the same period a year earlier. **Demand for AI** saw revenues for Amazon Web Services, its cloud-computing arm, surge almost 37%, to \$42.2bn. Meanwhile, **Apple** reported quarterly revenues of \$109.4bn, up 16% year on year. America's tech-heavy **NASDAQ** closed almost 2.8% higher on Thursday after Microsoft's earnings beat estimates.

European football's member associations voted to boycott the next **World Cup** if **FIFA flogged stakes** in the running of tournaments. The plan, dreamed up by global football's boss, **Gianni Infantino**, has been panned by politicians, players and administrators who fret about selling the soul of the sport. The proposal would aim to raise up to \$4.2bn and give money to **FIFA's** national member associations.

Saudi Arabia proposed creating an international maritime-defence alliance, amid attacks on oil tankers in the Red Sea by [the Houthis](#), an **Iranian**-backed militia. The Saudi defence ministry said dozens of countries met to discuss the plan on Thursday; 14, including Egypt and Qatar, expressed their support. Earlier, **America** struck Iran's southern provinces in response to an Iranian missile attack on its forces in Jordan.

Shell more than doubled its profit in the second quarter, compared with the same period last year. Boosted by the [energy-price spike](#) caused by the Gulf war, Europe's largest oil and gas firm reported earnings of \$9.84bn for April to June, beating market expectations. Shell last posted comparable results in 2022, when Russia's invasion of Ukraine spooked energy markets.

Citadel, a big American hedge fund, bought many of the equities held by **Situational Awareness**, an upstart fund that has been losing money hand-over-fist thanks to the sell-off in [AI stocks](#). Situational Awareness is run by Leopold Aschenbrenner, a 24-year-old Silicon Valley *wunderkind* with no prior trading experience. In recent days his fund, which grew at one point to \$45bn, had sought more capital from investors.

Figure of the day: 8%, the share of British adults who send postcards. [Once ubiquitous and loved](#), can they be revived?

Diplomacy stalls in the Gulf



Photograph: US CENTRAL COMMAND/AFP via Getty Images

On Wednesday Iran fired a barrage of missiles at an American base in Jordan, ending an informal five-day truce. Donald Trump had paused the war—despite his threats of a “massive attack”—to buy time for talks over [reopening the Strait of Hormuz](#) and for a naval blockade to choke off Iran’s economy. The regime in Tehran no doubt hoped to show that America does not control the pace of battle. Mr Trump, never one for understatement, subsequently promised to “beat the fucking shit out of them”.

The talks are not going well. Omani diplomats flew to Tehran last weekend to present a compromise in which regional countries would jointly administer Hormuz. Ships would not be charged tolls, but the consortium could collect voluntary fees. Iran rejected the proposal. Its deputy foreign minister insists that the strait’s inbound lane must be entirely under Iranian control—a non-starter for America and its Gulf allies.

Europe's sluggish recovery



Photograph: Avalon

The euro zone's economy is struggling to find its footing. It **lacks** both tech giants to rival those in America, and data centres to host their AI models. Meanwhile, Donald Trump's conflict with Iran has dealt a blow to the continent's already sluggish growth. Services have taken the hardest hit, as high oil prices hit households and their willingness to spend. Consumer-price inflation was around 3% in the second quarter.

There are some positive signs. Preliminary GDP figures for the second quarter, released on Thursday, showed an increase of 0.4% from the first three months of the year—slightly more than was expected. Sentiment among firms showed hints of a rebound in June, as **oil prices** fell from extremely high to merely high. The mood among households is also recovering, according to a flash release by the European Commission. But the same figures show that household sentiment is still struggling to reach its pre-war baseline, much less return to its long-term average.

The shine comes off European defence giants

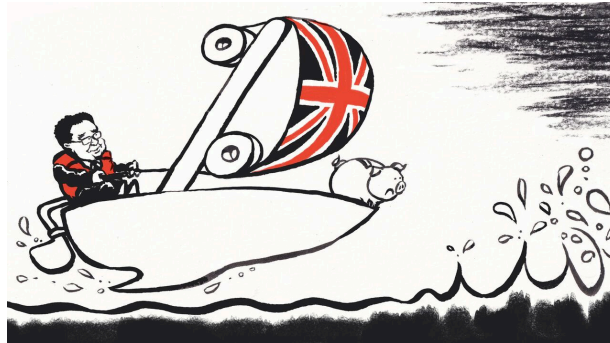


Photograph: Reuters

BAE Systems, Europe's biggest defence firm, has been **riding high**. It has a large order backlog and recently won a £2.5bn (\$3.3bn) contract to support Turkey's new Typhoon fighter-jet fleet. The British government has pledged £8.6bn over the next four years to a BAE-led initiative to develop a new jet, alongside Italy and Japan. In its half-year results, reported on Thursday, the company showed a 9% increase in sales compared to the same period last year.

Yet shares in the company have been flat for much of the past year, reflecting a **broader malaise**. An index of leading European military contractors has fallen by 12% from its peak at the start of the year. That is partly because of **uncertainty** over how European governments will fund increased defence commitments. Buzz surrounding upstart firms, including Helsing and Quantum Systems, makers of AI-enabled autonomous drones, is also weighing on legacy firms.

Has the Bank of England finally caught a break?



Photograph: David Simonds

The [Bank of England](#) held its main interest rate at 3.75% on Thursday after a run of good news. Inflation slowed to 2.6% in the year to June, half a percentage point below the bank's most recent forecast. The economy expanded by an unexpected 0.7% in the three months to May, compared with the previous three months. And this growth lacked the inflationary wage increases that frustrate central bankers.

Still, rate-setters remain uneasy. Renewed conflict in the Middle East briefly pushed oil prices above \$100 a barrel last week. Barclays, a bank, forecasts that inflation will peak at 3.4% in November. Three of the bank's Monetary Policy Committee members voted to raise rates to 4%—an attempt to prevent any [inflationary spiral](#). Policymakers will also be nervous about whether [Britain's new prime minister](#) will loosen fiscal policy at the autumn budget. The bank's good fortune may not last.

Revisiting the Lockerbie bombing



Photograph: Netflix

“The Bombing Of Pan Am 103”, a six-part factual drama released on Netflix on Thursday, recounts the events of the Lockerbie bombing, named after the small Scottish town where Britain’s most devastating terrorist attack struck in 1988. The 11 residents who died when Pan Am 103 blew up in the sky overhead were unintended casualties—the culprits, linked to Libya’s government, planned to down the airliner over the ocean. Their principal target was America, yet their 270 victims hailed from 21 countries. What followed was the biggest and most complex murder investigation ever undertaken in Scotland, in the jurisdiction of its smallest police force.

The programme centres on the investigation, drawing on testimonies from those who pursued the case and victims’ families. Although the narrative is inevitably compressed, the docu-drama is harrowing and gripping as it traces the long, twisting path towards justice. Only one person has ever been convicted (he has since died); a Libyan man accused of making the bomb is still awaiting trial in America.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Which Roman tourist spot contains the Arch of Titus and the Temple of Antoninus and Faustina?

Wednesday: What is a common name for the Central Intelligence Agency?

A person who has not done one half his day's work by ten o'clock, runs a chance of leaving the other half undone.

Emily Brontë